results for their investment trusts had, by 1930 and 1931, fallen into disrepute. These trusts had sold at huge premiums over net asset values in the mania of 1927–29. The subsequent rapid switch from the worship of investment management to complete disillusionment left Wall Street looking for something to merchandise to the public that could exploit the new skepticism. Consequently, fixed trusts, which had been around in specialized forms for many years, were designed in a diversified form. The idea was simple. Why bother with investment management at all if it was worthless? Just select a list of good quality stocks and leave it undisturbed unless—and it was the "unless" that did in the fixed trust—a dividend was passed.

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*The history of portfolio investment is a series of responses to the past, some of them clothed in sophisticated terms and unrecognized as being retrospective.*

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Obviously, the 1930's were not auspicious dividend years, and the fixed trusts' portfolios were decimated by dividend cuts and omissions that occurred after the prices of the stocks had declined in anticipation thereof. Fixed trusts died quietly in the mid-1930's.

## Formula Timing

In the late 1930's and during the early postwar-World War II years, a glance at a chart of stock market history made it apparent that most market fluctuations in this century had been contained within a pair of parallel lines that were rising at a long-term trend rate of about 3.0%. (see Chart I) Major